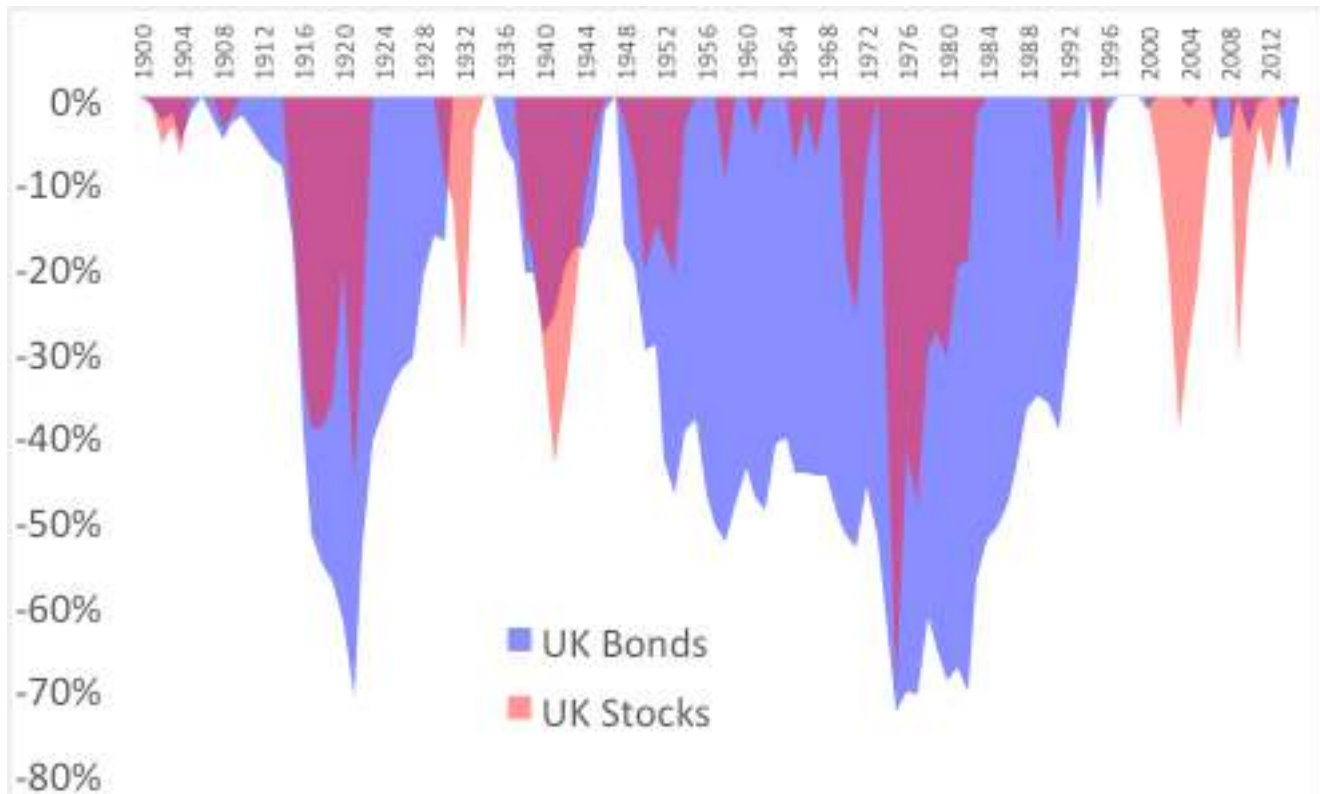


**FIGURE 10 –Asset Class Real Drawdowns, 1900-2014**



Source: Morningstar, Bloomberg, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press 2002

This is one of the problems with investing in just one security, country, or asset class. Normal market returns are extreme. Individuals invested in various assets at specific periods—U.S. stocks in the late 1920s and early 1930s, German asset classes in the 1910s and 1940s, Russian stocks in 1917, Chinese stocks in 1949, U.S. real estate in the mid-1950s, Japanese stocks in the 1990s, emerging markets and commodities in the late 1990s, and nearly everything in 2008— would reason that holding these assets was a decidedly unwise course of action. Most individuals do not have a sufficiently long time to recover from large drawdowns from any one risky asset class.

So what is an investor to do? The next step lies in what is called the only free lunch in investing – diversification.